

2026 Comparative Politics Comprehensive Exam

Day 2: Comparative Institutions

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Question

Are institutional constraints on action always necessary for the resolution of social/political/economic problems or for the stability of social/political/economic relations? Consider various reasons given in the literature for the need for institutions. How do institutions come into being? Is it possible to have social cooperation in politics without institutions? Provide empirical examples for different approaches to the emergence and design of institutions

Introduction

In this response, I examine the primary factors determining whether or not social, political, and economic phenomena are most appropriately addressed through institutional constraints or non-institutional alternatives, and how these “solutions” come to exist. To do so, we must first construct a justification *for* institutions as a means of securing cooperation, and then identify the cases under which other solutions may be viable. The paper proceeds as follows. First, I discuss the primary purposes of institutions in facilitating cooperation, examining the general frameworks which they may be used to solve and how they arise from those frameworks. Second, I explore how repetition of interactions may provide non-institutional stability under certain conditions (which themselves may be secured by institutions). Third, I consider how existing incentive structures may already be aligned with optimal outcomes, transitioning into a focus on the role of social norms as informal institutions. I conclude by discussing the ever-present philosophical debate between rational-choice-focused “new institutionalists” and their interpretivism-focused dissenters, and consider how our framing of institutions might facilitate a reconciliatory (and intellectually productive) future between these two factions.

I am, both in head and heart, an institutionalist. Yet, I concede that the degree to which institutions are necessary to facilitate the effective operation of society is not uniform. In this response, I intend to characterize a relatively broad literature within institutional theory, and consider the limits of its applicability. If my experience with the preceeding section of this examination has taught me anything, it is that I cannot reasonably hope to

discuss every such factor in the coming hours. Instead, I must relegate myself to exploring them in the coming years and decades.

Institutions and Cooperation

North's (1990*b*) construction of institutions as "the rules of the game" is perhaps one of the most famous definitions in contemporary political science, and for good reason. We can broadly characterize institutions as those influences which shape outcome behavior in a given social setting. We can map two such means of influence from North's characterization: either the rules are unbreakable, in which they ultimately define the action set available, or they are breakable but utility-changing, in which they affect the *utilities* associated with the available action set (and thereby, under a rationalistic framework, the outcome behaviors selected). In either case, the end effect – behavioral alteration – can be achieved, though we will explore the limitations of this definition in our discussion of existing incentive alignment.

Yet, in determining when institutions are necessary, we must examine not only what they *are*, but also what they *do*.¹ Let us first consider North's (1990*b*) characterization of institutions as "reducing transaction costs." Through this framework, institutions exist to counter market² inefficiencies and facilitate lower-cost exchanges of goods, information, and power. There are a variety of ways in which institutions can deliver this efficiency, the first being as an informational structure: institutions provide stability in expectations such that actors can reliably predict the consequences of their behavioral decisions (Mahoney & Thelen 2009). This reduction in uncertainty can prove a valuable asset to efficient

¹or ought to do

²This is not merely an economic or trade market, but very well may include a political or policy market

market interactions, and can avoid the losses that come with calculated caution (Handley & Limão 2015).

Though these above mechanisms invoke clear reductions in transactional costs, at least insofar as “traditional” market exchanges, this conceptualization can be expanded to three further core problems in political science. Each could easily warrant multiple exams’ worth of examination; I instead attempt to provide a quick-yet-definitive characterization of each and the institutional responses therein.

Institutions for Coordination

A coordination problem involves a scenario whereby actors have multiple equilibria which they can collectively achieve, but face obstacles to deciding which equilibrium³ to target. The canonical example under symmetry is a society’s decision to drive on either side of the road. Presumably, most preferences for one side over the other are relatively weak, but it is clear that all rational members of the society should prefer a uniform decision: either everybody drives on the left, or everybody drives on the right, lest we risk crashes and inefficiency. Here, a reduction in transaction costs (car crashes) can be supported by institutions which either (1) facilitate communication such that an agreed-upon outcome can be decided, or (2) outright impose one of the two equilibria (“all left” or “all right”). Legislative institutions often serve the first purpose (Gandhi & Przeworski 2007), while the second is particularly ripe for political entrepreneurship (Taylor 1990). However, each of these functions still requires an initial instigation; a legislature does not exist until it does, and a political entrepreneur must actually accumulate support as a coordinative device.

³encompassing both outcome and process

Yet, coordination problems need not feature this symmetry, and indeed it is quite frequent within the political sphere for actors to prefer a coordinated outcome, but to diverge in their preferences *between* coordinated outcomes. A common example is within ideological factions, whereby the meaningful representation of minority groups may require their cooperation, but the terms of that cooperation are not necessarily given. Consider a three-party environment where no party holds an outright majority (as if one does, the question is largely moot). By definition, any two parties could form a coalition to gain office, but in doing so would almost certainly need to compromise on some policy dimensions (Strom 1990, Müller & Strøm 1999, Cheibub, Przeworski & Saiegh 2004). This tradeoff, as Boix (1999) demonstrates, can produce incredibly counterproductive results if a clear coordination mechanism is not present; consolidation into a majority coalition can be nearly impossible if the relevant parties are evenly strong such that one of the two coordinating equilibria can be clearly selected. Accordingly, the party organizations themselves exist as institutions to solve one coordination problem, but when considering ideological or policy coalitions, further institutional involvement may be warranted.

How, then, do these coordinative institutions emerge? Some scholars emphasize the role of exogenous and spontaneous formation of such coordinative institutions which, upon “solving” the previous coordination problem, are retained (Sugden 1989, Kuran 1991). Yet, this suggestion of exogeneity⁴ was quickly met with literature focusing on their endogenous formation, even if fueled in part by certain circumstances. Aldrich’s (1995) *Why Parties* provided a highly-intentional narrative of American party formation as an institutional solution to the above (asymmetric) coordination problem, whereby factions who were able

⁴As suggested in yesterday’s response – not a particularly appealing explanation in social science

to consolidate into larger cohorts enjoyed outsized political success compared to those who remained fragmented. This logic is furthered in the American historical lens by Bloch Rubin’s (2013) examination of the “House Insurgency” between 1908 and 1910, in which initially-sporadic sparks of dissent were effectively organized into a coordinated movement largely (though not entirely) facilitated through party structures. Though suggestions of primarily-exogenous emergence provoked this further examination of endogenous formation, the argument had been well-established for quite some time; Lenin himself argued for the vanguard party as a means of overcoming coordination challenges which spontaneity had not been previously able to deliver (Lenin 1935).

It is further important to note that, largely because of this endogeneity, the construction of coordinating institutions does not necessarily take a uniform shape: even as these institutions reduce some friction between decision-makers, there can still be significant imbalances in the utilities achieved, largely resulting from agenda-setting powers. Romer & Rosenthal’s (1978) foundational examination of status quo reversion, for example, illustrates the privileges enjoyed by (1) the agenda-setter within a decision-making process, and (2) those who are favored under the status quo (as failure to collectively pass an alternative results in reversion to this policy preference). Their discussion is preceeded by the core social choice results of the 1970s now known as the McKelvey-Schofield Chaos Theorem(s) (McKelvey 1976, ?), which suggest that among multidimensional policy spaces, majority rule will not produce a unique Concorcet winner and almost any policy can be ultimately achieved through strategic agenda-setting. To this end, we potentially obtain a new situation in which further institutional constraints could provide enhanced stability – but, we also can clearly see the perpetuation of noncooperative behavior even within institutionalized environments.

Though it may be obvious, it is worth stating at this point – institutionalization alone is not sufficient to solve cooperation. Rather, *when* institutionalization is a possible solution, we must pursue the *right* institutions.

Institutions for Collective Action

A collective action problem exists when individual actors can be made better off by pursuing a collectively inferior outcome (Olson 1965, Taylor 1990). This may take the shape of resource overconsumption, such as the tragedy of the commons whereby every consumer of a collective resource has an incentive to overconsume (Olson 1965, Ostrom 1990); it may take the form of “free-riding” within an effort-needing task; and it can appear through a myriad of other manifestations, some of which we will explore later in this section and this response. At its core, however, the problem is simple: the pareto-efficient outcome is not an equilibrium, and therefore we cannot expect it to be supported by rational actors.

Discussing the foundations of institutions solving collective action problems is a bit more straightforward than with commitment problems, precisely because an institutional solution need only establish the efficient outcome as an equilibrium. Returning back to our construction of institutions as “constraints on behavior,” we can quickly recover two such applications. First, largely as a brute-force answer, institutions could potentially constrain action sets to only allow for the desired outcome, and in doing so fully eliminate the collective action problem. Second, and more realistically, institutions can be constructed to reduce incentives for non-cooperation by either increasing the value of total cooperation or providing some sanction against non-cooperative deviations. In either case, the role of the institution

is, as Taylor (Taylor 1990) describes, as an “external” solution: by changing the structure of the game, we can induce the desired behavioral outcome.

Yet, for a variety of reasons, it may not always be possible to eliminate collective-action defects or otherwise “cheating” behavior. In weak-institution environments, there may not be sufficient state capacity to establish such an external solution, or it may be the case that the supposed solution cannot be reasonably enforced: a fraud will not be deterred by the threat of government sanctions if the government is not able to reliably impose those sanctions. Here, institutions serve another role, and one that is particularly well-aligned with North’s discussion of reducing transaction costs: institutions can limit the *risk* of cooperative failures. Though we have already discussed that institutions may reduce market uncertainties, we can also conceptualize institutions which exist to mitigate the impact of those uncertainties, particularly when they are unavoidable. Enter, again, the law merchant (Milgrom, North & Weingast* 1990)! The expansion of trade throughout medieval times was burdened by the difficulty of enforcing exchange contracts in low-institutional environments and with traders from faraway markets. As Milgrom et al (1990) explain, a series of institutions both reduced the likelihood of a participant being cheated, and provided additional insurances were such a fraudulent interaction to occur. The result was a significant expansion in trade volumes, precisely because the imposition of locally-higher transaction costs (i.e., paying for the law merchant and enduring the institutional burden) allowed for globally-lower transaction costs and a lower-risk market.

This follows a similar line of work on collective action institutions regarding the voluntary acquiescence of power and influence. I explored this rather substantially in my Core response, with respect to decisions by rulers and the elites to extend political franchises

and constrain themselves from future exploits in an effort to nurture peace and investment. Though I will not re-hash that extensive line of reasoning as a whole, I again point to its relationship to reduced transaction costs by means of prohibiting collective action defection. As North & Weingast (1989) explore in seventeenth-century Britain, cooperative trade and investment followed from institutional restrictions on the ability of the crown to abuse property rights and renege on loans. In doing so, the state could effectively reduce the transaction costs experienced by private citizens who sought to accumulate and invest wealth, by meaningfully reducing the risks involved.

An Evaluatory Framework

Though the above discussions are relatively foundational corners of social science, their inclusion in this response is not merely to demonstrate my knowledge of the literature⁵. Rather, from these characterizations of the problems which institutions solve, we can construct a framework for evaluating whether or not institutional solutions are either necessary or optimal in establishing cooperative outcomes.

Let us again consider North's discussion of "reduced transaction costs." If the role of institutions is to indeed facilitate lower-cost (and therefore more frequent) exchanges and interactions, then a core factor in whether or not a given institutional arrangement is necessary is whether or not it indeed provides lower transaction costs than would exist without it. North himself (1990*b*) examines this as a core evaluatory measure for institutional quality, positing that the effectiveness of an institution or arrangement of institutions can be broadly measured by evaluating its resultant impacts on transaction costs. Indeed, in

⁵Though that's certainly a benefit!

considering the influence of the factors of institutional development explored in the main sections of this response, a core metric will be whether or not equivalent (or even lower) transaction costs can be achieved in their absence.

Yet, we must further examine exactly how we intend to consider transaction costs, for two reasons. First, as North (North 1990a) discusses, a subset of institutions may intentionally *increase* some transaction costs. Various restrictions on property rights, for example, may be profitable for those with control over an institutional arrangement, and subsequently raise transaction costs.⁶ Second, it may not always be clear exactly what “altitude” the salient transaction costs are being reduced; that is, we may often need to evaluate a much broader behavioral pathway in order to identify ultimate reduction, especially if the targeted reduction in cost is due to some externality. For example, many regimes place additional sales taxes on alcohol and tobacco products, which surely increases market friction and local costs between those markets’ producers and consumers. Yet, in curbing alcohol and tobacco usage, the state may secure meaningful reductions in healthcare, emergency, and law enforcement expenses, freeing public funds for more productive investment. This *broad* reduction in transaction cost is accordingly achieved through a *localized* increase in transaction costs, but if we are to only consider the local lens, we may improperly evaluate these taxation institutions as ineffective. Similarly, we may find broad improvements in group cooperation achieved through local hindrances, and accordingly must be careful and intentional in considering the subsequent institutional impacts.

This points to a broader challenge in evaluating institutional design: because insti-

⁶A useful note here, however – because this response is concerned with identifying when cooperation can be achieved with versus without institutions, the inclusion of “malicious” institutions can be almost summarily addressed: the alternative is almost certainly better.

tutions are not generated randomly (more on that later), at least in their entirety, it can be difficult to determine their actual effects. Przeworski et al (2000) provide an evaluatory framework based on counterfactuals that allow us to overcome this obstacle, at least in part. Their framework suggests that in order to properly analyze the impacts of institutions, we “must ask what the outcomes would have been if other institutions had been observed under the same conditions” (Przeworski, Alvarez, Cheibub & Limongi 2000). This invites a degree of uncertainty in considering counterfactuals which we (tautologically) cannot observe, but is an important step forward in institutional evaluation nonetheless, and I make every effort to employ this framework in the remainder of this response.

I close this section, then, by focusing on an additional characterization of institutions: influences intended to steer interactions towards certain (ideally, socially-optimal) equilibria and away from others. An institution is an effective and necessary tool for cooperation, then, when two partially-overlapping conditions are met in equilibrium:

1. Without the institution, a less-optimal equilibrium would be expected;
2. No alternative (non-institutional) mechanism could support the present equilibrium

Cooperation and Repetition

Pre-Existing Alignment and Informal Institutions

Framing Norms and Reconciling Institutional Perspectives

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